

Chapter 8

Managing in a Global Environment

Dr. Safwat Elsharkawi

Safwat.ElSharkawi@eslsca.edu.eg



Learning Outcomes

1

Understand Ethnocentric, polycentric, and geocentric attitudes toward global business.

2

Understand how Organizations go Global & The entry mode strategies

3

Analyze Political, Economic, Social and Technological environments in the global business context

4

Recognize the importance of PEST Analysis for Global Business

Globalization Vs. Nationalism

Globalization

A process by which organizations develop influence or operations across international borders.

- Globalization allows the free movement of people, goods, investments, and information technology across borders

Nationalism

Patriotic ideals and policies that glorify a country's values.

- Include a broad range of tariffs to protect a country's businesses and workers from foreign competition





Ethnocentric

Believes home country practices are best.



Polycentric

Believes host country managers know best.



Geocentric

Focuses on best practices and people globally.

1. Ethnocentric Attitude (Home-Country Orientation)

This is the "Home is Best" approach. Management believes that the values, practices, and personnel of the home country are superior to those anywhere else.

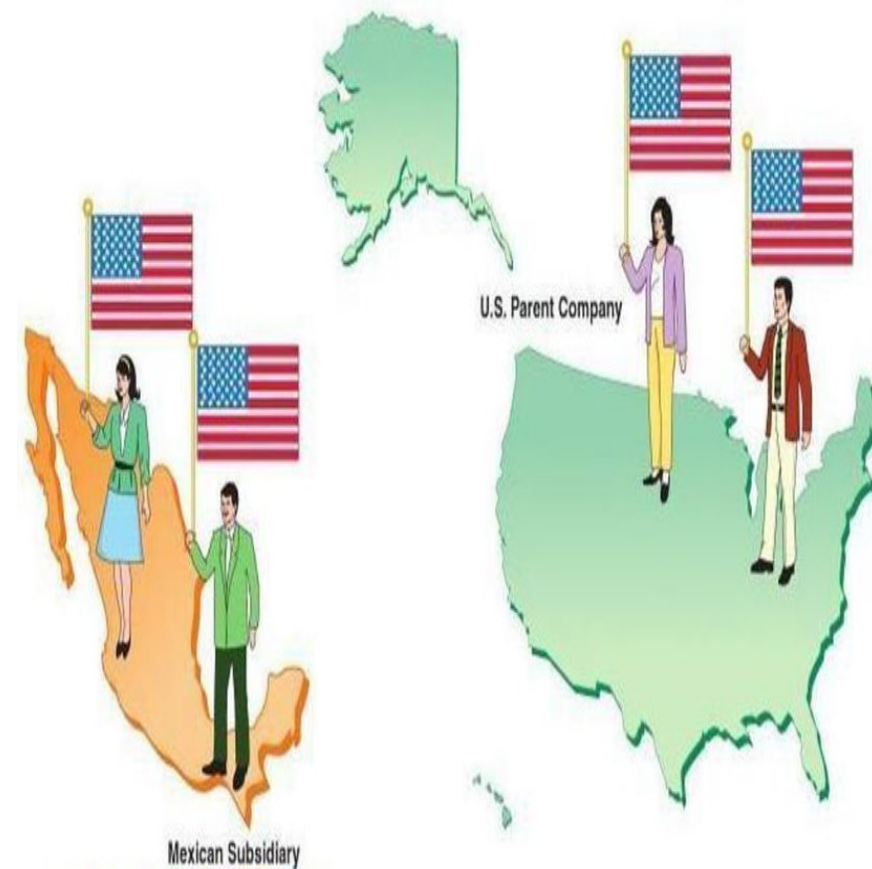
Subsidiaries in foreign markets are expected to follow the exact same procedures as the headquarters.

Examples:

- Apple products remain the same throughout
- A high-end Italian fashion house that insists on using only Italian managers and Italian marketing strategies in their Tokyo and New York branches, believing that only Italians can truly represent the brand's "soul..

•Disadvantage

- Can lead to cultural misunderstandings
- Demotivation among local employees
- Missed opportunities to leverage local expertise.



When to use Ethnocentric attitude:

1. Initial Stage of International Expansion:

- When a company first enters a new and unfamiliar market, relying on familiar practices and experienced personnel from the home country can provide a sense of stability and control. This can be helpful for establishing initial operations and navigating unfamiliar terrain.
 - Example: A company opening its first overseas branch might send a small team of experienced managers from the headquarters to set up the office, train local staff, and ensure that the company's core values and processes are implemented.

2. Protecting Brand Identity and Intellectual Property:

- In some cases, strict adherence to home country standards might be necessary to maintain brand consistency and protect intellectual property, especially for companies with a strong brand reputation or unique products.
 - Example: A luxury fashion brand known for its craftsmanship and quality might insist on using artisans from its home country to manufacture its products, even when operating in other countries, to ensure that its quality standards are met.

3. Highly Specialized or Technical Products/Services:

- When dealing with highly specialized or technical products or services, expertise from the home country might be crucial in the initial stages until local expertise is developed.
 - Example: A company specializing in advanced medical equipment might initially send engineers and technicians from its home country to install and maintain the equipment in a new market until local personnel can be trained to the required level.

2. Polycentric Attitude (Host-Country Orientation)

- This is the "When in Rome, do as the Romans do" approach.
- Management acknowledges that every market is unique and complex.
- They give foreign subsidiaries a high degree of autonomy to manage their own operations, marketing, and HR.

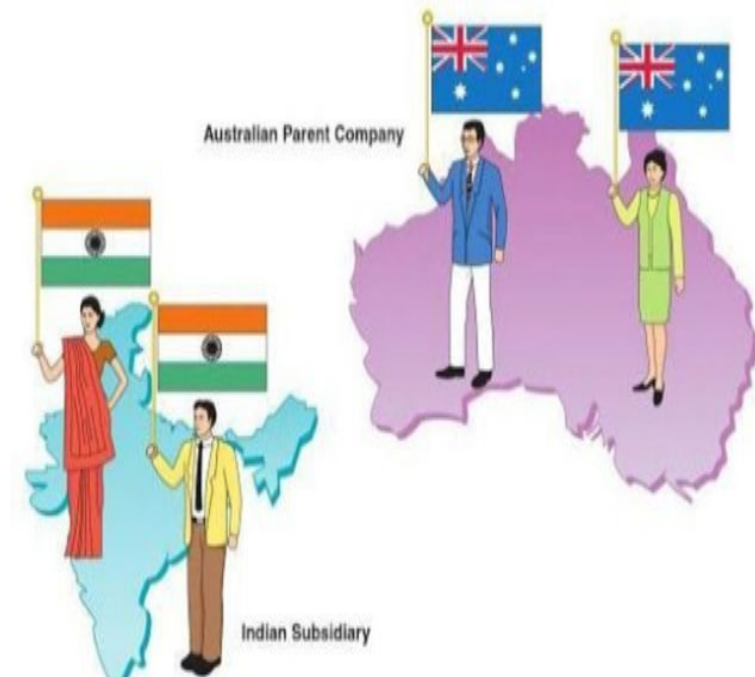
•Examples:

•**McDonald's** tailoring its offerings to the country of operation such as Maharaja Mac in India, McItaly in Italy, McLobster in Canada.

•**Unilever**, a consumer goods giant, develops and markets products tailored to specific regions. For example, their skincare brand, Fair & Lovely, is marketed with different formulations and messaging in different parts of Asia to address varying skin tones and beauty ideals.

•Advantages

- Increased market share.
- Stronger brand image
- Reduced risk of cultural misunderstandings and conflicts
- Greater agility and responsiveness to local market changes.



When to use Polycentric attitude:

1. Diverse Cultural Environments:

- When expanding into countries with significantly different cultures, values, and consumer behaviors than the home country, a polycentric approach allows for adaptation and responsiveness to local nuances.
 - Example: A food company entering a new market with unique dietary preferences and cooking traditions would benefit from localizing its product offerings and marketing messages to resonate with the target audience.

2. Strong Local Competition:

- In markets with established local competitors who have a deep understanding of customer needs and preferences, a polycentric approach enables the company to compete effectively by leveraging local insights and expertise.
 - Example: A retail company entering a market dominated by local players can gain a competitive edge by empowering local managers to tailor product selection, pricing, and promotions to the specific market dynamics.

3. Desire to Foster Innovation and Creativity:

- By encouraging local experimentation and adaptation, a polycentric approach can foster innovation and creativity within the organization, leading to new product ideas, marketing approaches, and business models that can be leveraged globally.
 - Example: A global beverage company can encourage its regional subsidiaries to develop new flavors and product variations tailored to local tastes, potentially uncovering successful innovations that can be introduced in other markets.

3. Geocentric Attitude (World-Country Orientation)

- This is the most "evolved" and complex mindset. Management views the entire world as a single marketplace.
- The goal isn't to be "home-based" or "local-based," but to find the **best** practices and the **best** people, regardless of where they come from.

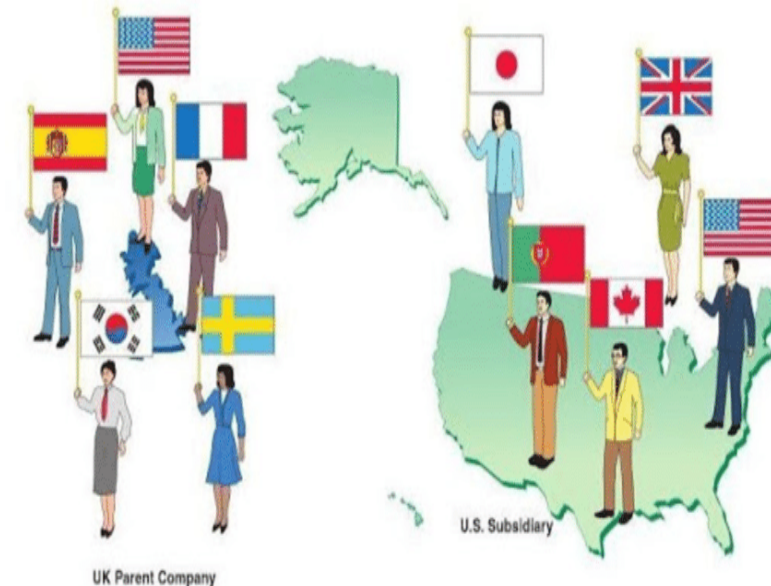
•Examples:

•**Example: Unilever or IBM.** A British-Dutch company might have an American CEO, a manufacturing plant in Vietnam using German technology, and a marketing campaign developed in Brazil for a global audience.

•**Netflix** sources and produces content from various countries, catering to diverse tastes and preferences.

•Advantages

- Leveraging global talent
- Fostering innovation
- Creating products and services that cater to a diverse world.



When to use Geocentric attitude:

1. Global Efficiency:

- When the company needs to achieve economies of scale while still staying relevant in local markets..

2. Need for global talent acquisition and development:

- When a company requires specialized skills or expertise that may not be readily available in a single location, a geocentric approach allows them to recruit the best talent from around the world.
 - **Example: A pharmaceutical company seeking researchers with specific expertise in a rare disease might adopt a geocentric approach to recruit top scientists from different countries, fostering a globally diverse research team.**

3. Mature Multinationals:

- Usually adopted by large, established firms that have the resources to manage the massive communication and coordination costs this mindset requires.

Attitude	Focus	Main Advantage	Main Risk
Ethnocentric	Home Country	Control & Consistency	Cultural Myopia (Blindness)
Polycentric	Host Country	Local Acceptance	Loss of Global Brand Unity
Geocentric	The World	Global Synergy	High Coordination Costs





**What is your current
company attitude
towards Global
business?**



Ethnocentric

Believes home country practices are best.



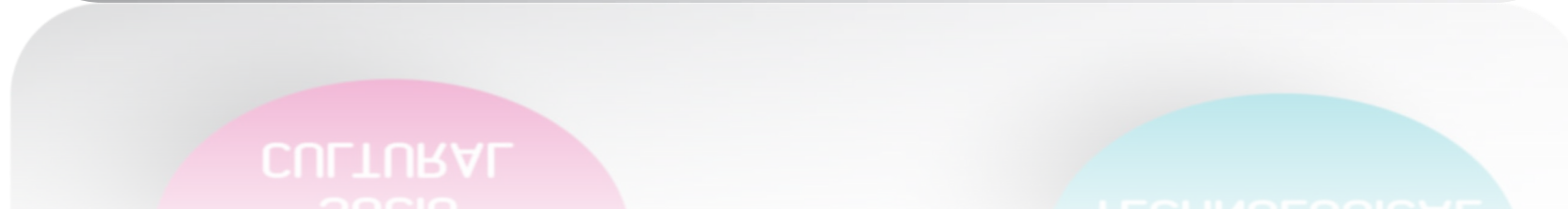
Polycentric

Believes host country managers know best.



Geocentric

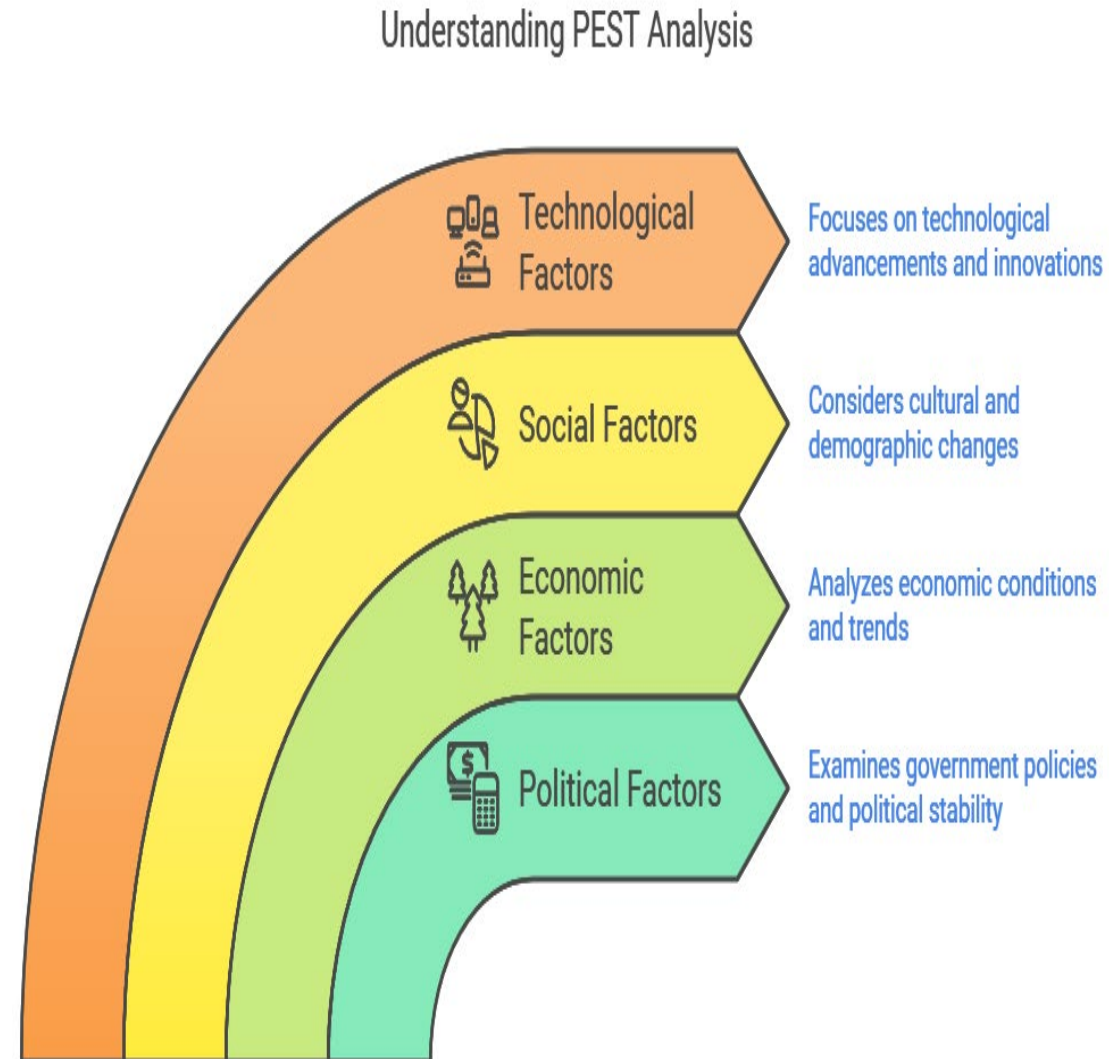
Focuses on best practices and people globally.



PEST analysis

PEST analysis is a strategic tool used to **evaluate the external macro-environmental factors that can affect a business.**

- It stands for **Political, Economic, Social, and Technological.**
- When a business goes global, conducting a PEST analysis for each target country becomes crucial to understand the unique challenges and opportunities presented by different markets.



Political

These relate to how government policies and regulations impact businesses. Political stability, tax policies, trade tariffs, labor laws, and government regulations are key considerations.

1. Government Stability and Political Climate

- The overall stability of the government (e.g., stable, volatile, corrupt, Political Conflict as Wat in Iran)
- Current political climate (e.g., left-wing or right-wing dominance, populism, political polarization)

2. Taxation Policies

- Corporate tax rates
- Value-added tax (VAT) or goods and services tax (GST)
- Tax incentives, deductions, or rebates for businesses
- Changes in tax laws or proposals for tax reforms

3. Trade Policies and Tariffs

- Import/export duties and restrictions
- Trade tariffs and quotas
- Trade agreements (e.g., free trade agreements)
- Government subsidies and protectionist policies

4. Foreign Policy and International Relations

- Diplomatic relations and geopolitical tensions (e.g., sanctions, embargoes)
- Impact of international conflicts or political disputes on trade and operations

5. Regulation and Deregulation

- Government regulations in industries (e.g., financial, healthcare, tech)
- Deregulation trends that could open up new markets or reduce compliance costs
- Regulatory requirements for starting or running a business (e.g., licensing)

6. Labor Laws

- Employment laws related to minimum wage, working hours, benefits
- Labor union strength and collective bargaining agreements
- Employee protection laws (e.g., discrimination laws, maternity/paternity leave)

8. Trade Unions and Industrial Relations

- Strength and influence of trade unions on policy-making
- History of labor strikes or industrial actions that could impact business operations

9. Corruption and Bureaucracy

- Levels of corruption in government agencies
- Bureaucratic inefficiency or red tape that could slow down business processes
- Government transparency and anti-corruption measures

Economic

1. Economic Growth and GDP

- Current GDP growth rates (national, regional, global)
- Trends in economic expansion or contraction
- Economic conditions impacting the growth of particular industries (e.g., manufacturing, technology).

2. Inflation Rates

- Price Increases:** How rising inflation affects the cost of goods, raw materials, and production.
- Purchasing Power:** The impact of inflation on consumer and business purchasing power.
- Wage Inflation:** Rising labor costs due to inflation and the impact on operating margins.

3. Interest Rates

- Impact of high or low interest rates on business loans, borrowing costs, and investments
- Consumer lending interest rates (e.g., mortgage rates, credit card rates)

4. Exchange Rates and Currency Fluctuations

- Volatility of exchange rates between key trading currencies
- Impact of exchange rate movements on imports, exports, and profitability
- Risks of currency depreciation or appreciation

5. Unemployment Rates

- Consumer Confidence and Spending: How unemployment rates affect consumer confidence and spending behavior.
- Labor Costs: The impact of high or low unemployment on wages, employee benefits, and talent acquisition.
- Impact of unemployment on consumer spending and demand for products/services

6. Consumer Spending

- Trends in household savings and disposable income levels
- Consumer spending patterns on goods and services (e.g., luxury vs. necessity goods)

Sociocultural

1. Demographics

- Population size and growth rates
- Age distribution (e.g., aging population, youth bulges)
- Gender balance and roles in society
- Ethnic composition and minority populations
- Migration and population mobility trends

2. Cultural Norms and Values

- Cultural attitudes towards work, leisure, and consumerism
- Social norms around family, gender roles, and community
- Values around health, environmental sustainability, and lifestyle choices
- Changes in traditional versus modern values

3. Lifestyles and Consumption Patterns

- Trends in consumer behavior (e.g., rise of conscious consumers, minimalism, brand loyalty)
- Lifestyle preferences (e.g., urban vs. rural living, healthy living)
- Spending habits and priorities (e.g., experiences vs. material goods)
- Increasing adoption of digital lifestyles (e.g., online shopping, remote work)

4. Religion and Beliefs

- Major religions and their influence on culture, values, and behavior
- Religious holidays, festivals, and their impact on consumer behavior
- Religious beliefs affecting product choices or business practices (e.g., halal, kosher)

5. Generational Shifts and Preferences

- Differences in behavior and values among generations (e.g., Millennials, Gen Z, Gen Alfa)
- Generational preferences for products, services, and work environments
- Marketing strategies aimed at specific generations based on their values

Technological

1- Technological Adoption:

- How quickly are new technologies adopted in the market? Are consumers and businesses tech-savvy?

2. Digital Transformation

- Adoption of digital technologies (e.g., cloud computing, IoT, big data)
- Integration of digital solutions into operations (e.g., digital supply chains, e-commerce)
- Impact of digital transformation on business models and customer experiences

3. Technology Infrastructure

- Availability and quality of technology infrastructure (e.g., internet speed, mobile networks)
- Access to high-speed internet, 5G networks, and fiber optic connections
- Regional differences in infrastructure quality and technology access

4- E-commerce and Digitalization:

- How developed is the e-commerce market? Are digital payment systems widely used?

5- E-commerce and Online Platforms

- Growth of e-commerce and its impact on traditional retail
- Adoption of digital sales platforms and online marketplaces
- Development of omnichannel strategies (e.g., integration of physical and online shopping)

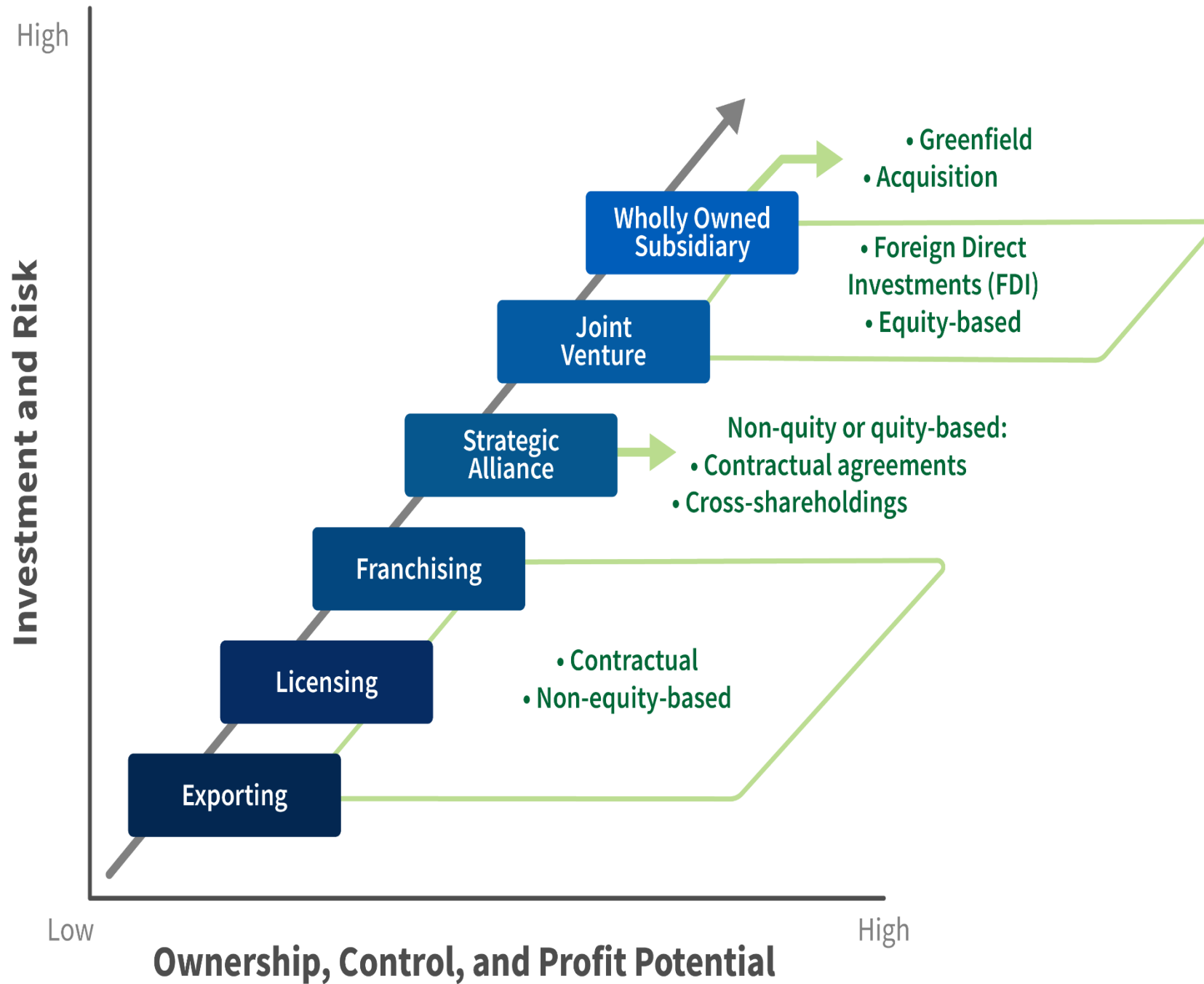
6. Mobile Technology and Applications

- Trends in mobile app usage and mobile commerce (m-commerce)
- Adoption of mobile payment systems (e.g., Apple Pay, Google Wallet)
- Mobile-first strategies for reaching customers and delivering services

Why PEST Analysis is Important for Global Business

- **Informed Decision-Making:** Provides insights into the external environment to make informed decisions about market entry, product development, and marketing strategies.
- **Risk Mitigation:** Helps identify potential risks and develop strategies to mitigate their impact.
- **Opportunity Identification:** Highlights potential opportunities for growth and expansion in new markets.
- **Competitive Advantage:** Enables businesses to anticipate market changes and gain a competitive edge.





How Organizations Go Global?

Entry Mode Strategies

Exporting

Exporting means producing goods in a certain country (exporting country), then selling it abroad in another country (Importing country)

Importing Acquiring products made abroad and selling them domestically.

- Exporting accounts for some 10% of global economic activity .



Advantages	Disadvantages
1- Low Initial Investment: Exporting typically requires lower upfront capital and financial commitment compared to other entry modes,	1- Distribution Costs: Exporting may involve higher distribution costs, including shipping, customs duties, and logistics expenses.
2-Speed to Market: Allows companies to enter international markets quickly. They can leverage start selling company products or services abroad without the time-consuming setup of local operations.	2- Market Distance and Barriers: Exporting across long distances can result in longer lead times and increased vulnerability to market barriers, such as tariffs, quotas, and trade restrictions.
3- Risk Mitigation: low-risk strategy, especially if a company begins by targeting markets with similar cultural and business environments. It allows businesses to test the waters and assess market demand without significant long-term commitments.	3- Limited Control: Companies that export their products or services often have limited control over how their offerings are marketed, distributed, and sold in the target market. This can lead to concerns about brand representation and customer experience..

Licensing

Licensing is a business arrangement where a company (licensor) grants another company (licensee) the right to use its intellectual property, technology, brand, or products in exchange for royalties or fees.

- Includes patent rights, trademark rights, and the rights to use technological processes



Advantages

- Low Risk and Investment.
- Quick Market Entry
- **Increased Revenue Streams:** Licensors earn royalties from the licensee's sales
- **Brand Expansion:** Licensing can increase brand awareness and recognition in new territories
- **Leveraging Local Expertise:** Licensees often have valuable knowledge of local markets, regulations, and consumer preferences.

Disadvantages

- **Limited Control:** The licensor has less control over how the licensed asset is used and marketed, impacting brand image.
- **Potential for Disputes:** Disagreements may arise between the licensor and licensee regarding the terms of the agreement or performance.
- **Risk of Intellectual Property Theft:** There's a risk that the licensee might misuse or misappropriate the licensed intellectual property.
- **Potential for Competition:** The licensee could eventually become a competitor in the market.

Licensing

Application:

1. **Entertainment Industry:** Disney Licensing Characters to International Toy Manufacturers.
2. **Technology Sector:** Microsoft Licensing Software to International Distributors
3. **Pharmaceutical Industry:** A US Pharmaceutical Company Licensing a Drug Patent to a Japanese Company
4. **Food and Beverage Industry:** Starbucks Licensing its Brand to International Partners
5. **Fashion Industry:** A Luxury Fashion Brand Licensing its Designs to Manufacturers in Developing Countries.



Franchising

Franchising is a business model where a franchisor grants a franchisee the right to operate a business using its established brand, business model, and support system. The franchisee pays an initial fee and ongoing royalties to the franchisor.



Application

1. **Fast Food:** McDonald's in Japan
2. **Convenience Stores:** 7-Eleven in Mexico
3. **Education:** Kumon in the United Kingdom

Kumon, a Japanese after-school learning program, has franchised its learning centers across the UK. They provide franchisees with teaching materials, training, and ongoing support, allowing franchisees to deliver the Kumon method while benefiting from the established brand and curriculum

4. **Fitness:** Anytime Fitness in India

24/7 gym access concept, and support in areas like equipment sourcing, marketing, and member management, enabling local entrepreneurs to capitalize on the growing fitness market in India.

5. **Hospitality:** Marriott International in the United Arab Emirates

Marriott International has franchised various hotel brands like Courtyard by Marriott and Residence Inn in the UAE

For the Franchisor

Advantages	Disadvantages
• Rapid Expansion: Grow the brand and market share quickly with less capital investment. • Increased Revenue: Earn franchise fees and royalties from franchisees. • Motivated Operators: Franchisees are highly motivated to succeed as they have invested their own capital. • Reduced Risk: Franchisees bear much of the financial risk of operating individual units.	• Loss of Control: Less control over day-to-day operations of individual franchise units. • Potential for Disputes: Conflicts may arise with franchisees over contract terms or performance. • Reputation Risk: Negative actions by one franchisee can damage the entire brand. • Support Costs: Providing ongoing training and support to franchisees can be expensive.

For the Franchisee

Advantages	Disadvantages
• Established Brand: Benefit from an already recognized brand name and customer base. • Proven Business Model: Receive a proven system and operating procedures, reducing risk. • Training and Support: Get comprehensive training and ongoing support from the franchisor. • Marketing and Advertising: Benefit from national or regional marketing campaigns. • Greater Success Rate: Franchises generally have a higher success rate than independent businesses..	• High Initial Investment: Franchise fees and startup costs can be substantial. Ongoing Fees: Franchisees must pay ongoing royalties and contribute to marketing funds. Limited Flexibility: Franchisees must adhere to the franchisor's rules and operating procedures. • Dependence on Franchisor: The franchisee's success is tied to the franchisor's brand and support. • Potential for Conflict: Disagreements may arise with the franchisor regarding operations or changes to the franchise system.

The main differences between Licensing & Franchising

Feature	Licensing	Franchising
Scope	Limited to specific intellectual property	Entire business model and brand
Control	Licensor has less control over licensee's operations	Franchisor has significant control over franchisee's operations
Relationship	More independent	Closer, ongoing relationship
Fees	Typically, royalties or one-time fees	Initial franchise fee and ongoing royalties
Support	Limited support from licensor	Extensive training and support from franchisor
	Licensing is like renting a tool. You get to use it, but you have a lot of freedom in how you use it.	Franchising is like joining a team. You get to wear the uniform and follow the coach's instructions.

Strategic Alliances

A **strategic alliance** is a collaborative agreement between two or more independent companies, often from different countries, to work together toward shared objectives.

- These companies retain their individual identities but cooperate in specific areas such as research and development, manufacturing, distribution, or marketing.

Reasons for **Strategic Alliances**:

- **Market Entry:** Gain access to new markets and overcome entry barriers like local regulations or distribution networks.
- **Resource Sharing:** Pool resources, technology, and expertise to reduce costs and increase efficiency.
- **Risk Sharing:** Share the financial and operational risks associated with international expansion.
- **Learning and Innovation:** Learn from each other's strengths and develop new products or processes.
- **Competitive Advantage:** Gain a competitive edge by combining complementary strengths and resources.





**JUHAYNA LAUNCHES IN KSA
THROUGH A STRATEGIC PARTNERSHIP
WITH AL RASHED**



Juhayna Food Industries
275,485 followers
3d • Edited •

أطلقنا أعمالنا رسمياً في المملكة العربية السعودية
نفخر بإعلان توسعنا في السوق السعودي من خلال شراكة استراتيجية مع شركة الراشد للتوزيع
إحدى أبرز الشركات في قطاع الأغذية بالمملكة.

تمثل هذه الخطوة محطة مهمة في رحلتنا التوسعية، التي حققناها بدعم من مستشارنا المالي
الاستراتيجي زيلا كابيتال، وبخبرة خالد جمال، الشريك التنفيذي، العميقة بالسوق السعودي،
والتي ساعدت في تحويل رؤيتنا إلى واقع.

نصل اليوم إلى المملكة ونحن نحمل معنا التزاماً راسخاً بالجودة والابتكار ، مدعوماً بتجربتنا في
التصدير لأكثر من 64 دولة، وشغف ببناء شراكات إقليمية تصنع أثراً مستداماً.

#جهينه_في_السعودية #جهينه_والراشد #جهينه_نحو_نمو_إقليمي

.We've officially landed in Saudi Arabia
We're proud to announce the launch of our operations in the Kingdom of Saudi
Arabia through a strategic partnership with **Al Rashed Food Company** Distribution
— one of the country's leading names in the food sector

This expansion is a key step in our regional growth journey, made possible with the
support of our financial advisor, **Zilla Capital** , led by Mr. Khaled Gamal, Managing
Partner, whose invaluable expertise and deep understanding of the Saudi market
helped turn the vision into reality

With exports to over 64 countries, we're excited to bring our quality promise to a
.new market — one built on insight, trusted partnerships, and shared ambition

A joint venture

A **joint venture** is different from other types of strategic alliances or collaborative relationships in that a joint venture is a partnership of two or more participating companies that have joined forces to create a separate legal entity.

Ex:

Ford and Volkswagen: collaborating on the development of electric vehicles and autonomous driving technology



[Edita, Dislog establish new JV in Morocco](#) They formed a new company named **Edita Food Industries Morocco**, where Edita holds a majority stake (76%) and Dislog holds 24%.

Advantages

- **Access to New Markets:** Expand geographically and reach new customers.
- **Shared Resources:** Combine resources and expertise for greater efficiency.
- **Reduced Risk:** Share the financial and operational risks of new ventures.
- **Increased Innovation:** Foster innovation and knowledge sharing.
- **Enhanced Competitiveness:** Gain a competitive edge through collaboration.

Disadvantages

- **Loss of Control:** Partners must share control and decision-making.
- **Cultural Differences:** Challenges can arise from differing management styles and communication.
- **Conflicting Objectives:** Partners may have divergent long-term goals.
- **Integration Difficulties:** Integrating different systems and processes can be complex.
- **Potential for Opportunism:** One partner might exploit the alliance for its own gain.

The main difference between Strategic Alliances & Joint Ventures

Feature	Strategic Alliance	Joint Venture (JV)
Legal Structure	No new legal entity created	New legal entity is formed
Ownership	Partners remain independent	Partners share ownership of the new entity
Control	Shared control over specific activities	Joint control over the new entity
Commitment	Less formal, less commitment	More formal, greater commitment
Flexibility	More flexible, easier to enter and exit	Less flexible, more complex to dissolve
Resources	Shared resources for specific projects	Pooled resources for the new entity
	A strategic alliance is like dating. You cooperate on specific things but maintain your independence	An JV is like getting married. You create something new together, share ownership, and are legally bound.

Foreign Direct Investment (FDI)/ Foreign Subsidiary

Directly investing in a foreign country by setting up a separate and independent production facility or office

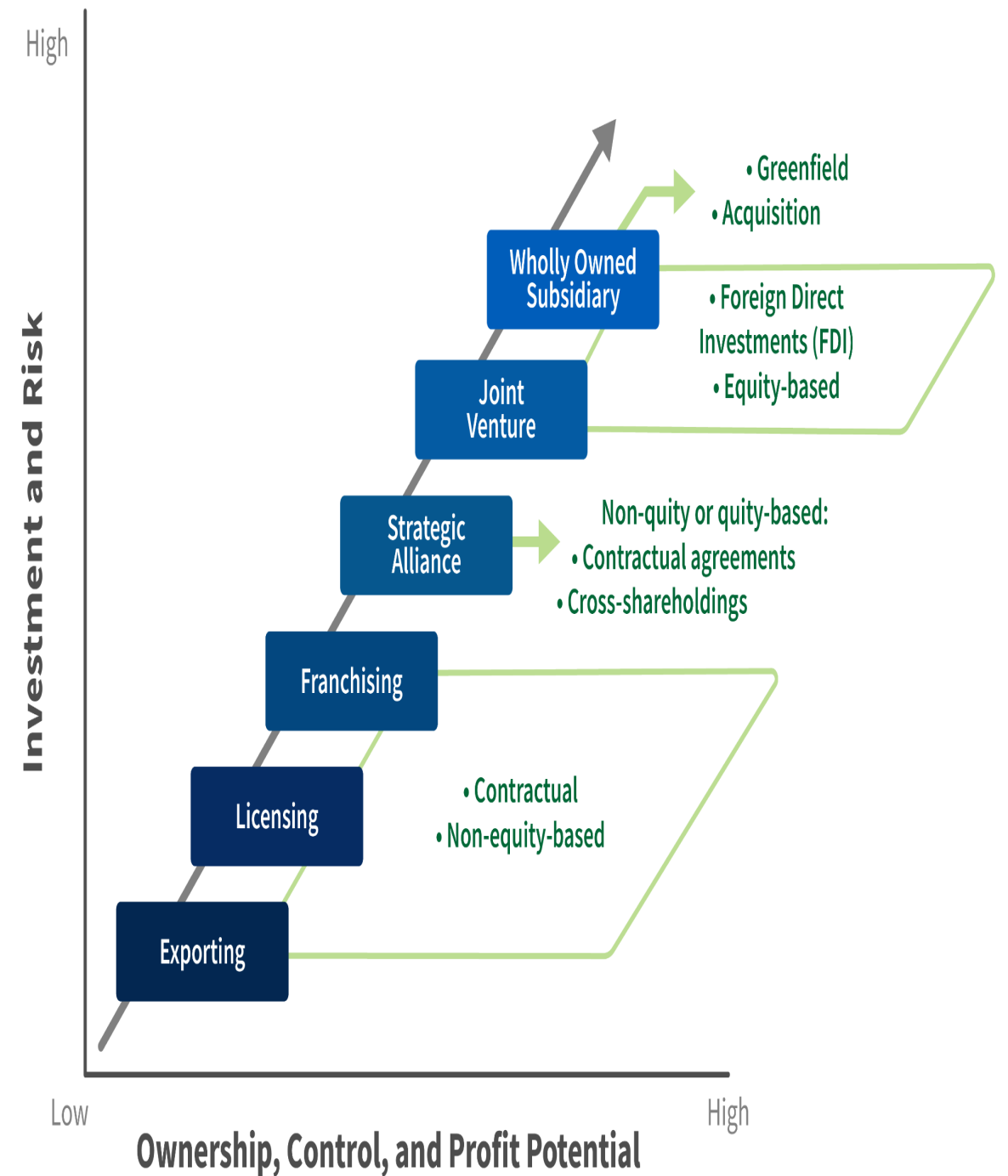
Advantages	Disadvantages
• Limited Liability: The parent company's liability is limited to its investment in the subsidiary. If the subsidiary faces financial trouble or legal issues, the parent company's assets are generally protected. • Access to New Markets: Direct presence in the foreign market allows for deeper market penetration and better understanding of local consumers. • Tax Advantages: Subsidiaries can take advantage of tax benefits and incentives offered by the host country. • Control and Autonomy: retains significant control over the subsidiary's strategic direction while allowing for some degree of autonomy to adapt to local market conditions.	• High Setup Costs: Establishing a foreign subsidiary requires significant investment in terms of time, money, and resources. • Complex Regulations: Navigating foreign laws, regulations, and business practices can be complex and challenging. • Political and Economic Risks: Subsidiaries are exposed to political instability, economic fluctuations, and currency exchange rate risks in the host country. • Management Challenges: Managing a subsidiary across borders can present communication, cultural, and logistical challenges. • Exit Barriers: Closing down a foreign subsidiary can be a complex and costly process.



ACTIVITY WORKS



"What is the most suitable market entry strategy for your organization to expand globally?"



The image features a central white square with the text "Thank YOU!" in a dark blue, hand-drawn font. The text is framed by a light red, hand-drawn outline. The background is white, and the corners are decorated with overlapping geometric shapes in shades of blue and purple.

Thank
YOU!